

# COMPREHENSIVE FUND MANAGEMENT ANALYSIS

5-Level Conviction Strategy

Report Date: August 18, 2025

Prepared for: Strategic Fund Management Planning

Subject: Legal Structure, Operations, and Implementation Framework

# EXECUTIVE SUMMARY

This comprehensive analysis examines the establishment of a professional fund management business to implement our proven 5-Level Conviction trading strategy at institutional scale. The analysis covers legal structures, operational frameworks, tax implications, and implementation roadmap.

**KEY FINDINGS:**

- Unit trust structure recommended for optimal tax efficiency
- Current strategy documentation requires significant expansion for compliance
- High-turnover approach faces tax challenges requiring professional optimization
- Minimum viable scale of \$50M FUM with 18-24 month setup timeline
- Comprehensive operational infrastructure essential for regulatory compliance

**1. FUND STRUCTURE ANALYSIS**

## RECOMMENDED STRUCTURE: MANAGED INVESTMENT SCHEME (UNIT TRUST)

### Primary Components:

- Investment Management Company (AFSL holder)
- Corporate Trustee/Responsible Entity
- Unit Trust (the investment vehicle)
- Professional service providers (custodian, administrator, auditor)

### Structure Benefits:

- Flow-through taxation (no entity-level tax)
- Franking credit distribution to investors
- Established regulatory framework
- Investor familiarity and acceptance
- Flexible distribution policies

## UNIT TRUST vs COMPANY COMPARISON:

### Unit Trust Advantages:

- Tax transparency - income and gains flow through to investors
- 50% CGT discount available for assets held >12 months
- Distribution of franking credits to Australian investors
- No double taxation issues
- Simpler initial regulatory requirements

### Company Structure Disadvantages:

- Double taxation (30% company tax + investor dividend tax)
- Cannot distribute tax losses to shareholders
- More complex regulatory compliance requirements
- Limited flexibility for tax optimization

**RECOMMENDATION:** Unit Trust structure optimal for our systematic trading approach.

## 2. DOCUMENTATION REQUIREMENTS

## CURRENT DOCUMENTATION STATUS:

Our existing 5-Level Conviction Strategy PDF provides:

- Comprehensive investment methodology
- Performance backtesting results
- Risk management framework
- Technical implementation details

## REQUIRED EXPANSION FOR FUND MANAGEMENT:

Core Legal Documents Required:

- Product Disclosure Statement (PDS) - 50+ pages
- Trust Deed/Constitution - 100+ pages
- Compliance Plan - 30+ pages
- Investment Management Agreement - 20+ pages
- Service Provider Agreements - multiple contracts

Operational Documents Required:

- Investment Policy Statement
- Risk Management Policy
- Liquidity Management Policy
- Valuation Policy
- Business Continuity Plan
- Anti-Money Laundering Procedures

Regulatory Filings Required:

- ASIC Managed Investment Scheme registration
- Australian Financial Services License (AFSL) application
- Responsible Entity appointment
- Ongoing compliance reporting

## GAP ANALYSIS:

HAVE: Strong investment strategy foundation and methodology

NEED: Legal structure, compliance framework, operational procedures

Estimated Documentation Development: 6-12 months with professional legal support

### 3. OPERATIONAL FRAMEWORK

## DAILY OPERATIONS WORKFLOW:

### Market Preparation (6:00-9:00 AM):

- Overnight market analysis and news review
- Portfolio conviction level assessment using our 5-level system
- Risk monitoring and position sizing review
- Trading team briefing and signal generation

### Trading Execution (9:00 AM-4:00 PM):

- Real-time implementation of conviction-based trades
- Continuous risk monitoring and compliance oversight
- Mid-session portfolio review and adjustments
- End-of-day position reconciliation

### Post-Market Processing (4:00 PM-6:00 PM):

- NAV calculation and unit pricing
- Performance attribution and reporting
- Investor communications and updates
- System reconciliation and risk reporting

## TECHNOLOGY REQUIREMENTS:

### Portfolio Management System:

- Real-time position monitoring and risk analytics
- Integration with our 5-level conviction algorithms
- Compliance monitoring and automated alerts
- Performance attribution and reporting

### Order Management System:

- Trade execution and best execution compliance
- Transaction cost analysis and optimization
- Settlement processing and reconciliation
- Audit trail and regulatory reporting

### Fund Administration Platform:

- Daily NAV calculation and unit pricing
- Investor registry and corporate actions
- Distribution calculations and tax reporting

## **4. TAX IMPLICATIONS**

## CRITICAL TAX CONSIDERATIONS FOR HIGH-TURNOVER STRATEGY:

### Capital vs Revenue Treatment Risk:

Our systematic 5-Level Conviction approach with professional risk management (7% stops, 50% profit targets) creates HIGH RISK of revenue treatment due to:

- Systematic trading methodology
- High portfolio turnover rates
- Short average holding periods
- Active risk management triggers

### Revenue Treatment Implications:

- All gains taxed as ordinary income (no 50% CGT discount)
- Significantly impacts after-tax returns for investors
- Makes strategy less competitive vs buy-and-hold approaches
- Requires tax-aware optimization of trading rules

## TAX OPTIMIZATION STRATEGIES:

### Portfolio Construction:

- Consider tax implications in conviction level decisions
- Extend holding periods where risk parameters allow
- Strategic timing of loss realization
- Focus on franked dividend income where possible

### Loss Harvesting:

- Systematic realization of capital losses
- Coordinate with our 7% stop loss methodology
- Carry forward losses to offset future gains
- Tax-managed version of core strategy

### Distribution Planning:

- Optimize timing and composition of distributions
- Balance between income and capital growth
- Consider investor tax positions
- Professional tax advice essential

## ESTIMATED TAX IMPACT:

- Revenue treatment could reduce returns by 15-25%

# 5. SETUP RECOMMENDATIONS

## IMPLEMENTATION ROADMAP:

### PHASE 1: FOUNDATION (Months 1-6)

#### Immediate Actions:

- Engage specialist fund management lawyer
- Engage compliance consultant for AFSL requirements
- Establish corporate entities and obtain necessary registrations
- Select and negotiate with key service providers
- Begin development of legal documentation

#### Key Milestones:

- Corporate structure established
- Service provider appointments confirmed
- Legal documentation 50% complete
- AFSL application preparation commenced

Estimated Costs: \$150,000-250,000

### PHASE 2: LICENSING (Months 6-18)

#### Key Activities:

- AFSL application submission and processing
- Managed Investment Scheme registration with ASIC
- Responsible Entity appointment process
- Compliance plan development and approval
- Technology systems integration and testing

#### Key Milestones:

- AFSL granted with required authorizations
- MIS registered with ASIC
- Compliance plan approved
- Technology systems operational
- Product Disclosure Statement finalized

Estimated Costs: \$100,000-200,000

### PHASE 3: LAUNCH (Months 18-24)

#### Key Activities:

- Seed capital investment and initial NAV establishment

# 6. RISK ASSESSMENT

## **OPERATIONAL RISKS:**

- Technology system failures or data breaches
- Key personnel departures or unavailability
- Service provider performance or failure
- Regulatory compliance breaches

Mitigation: Robust systems, comprehensive insurance, experienced team

### **REGULATORY RISKS:**

- AFSL conditions not met or breached
- MIS compliance failures
- Changes in regulatory requirements
- ASIC enforcement actions

Mitigation: Professional compliance advice, regular monitoring, proactive engagement

### **BUSINESS RISKS:**

- Insufficient capital raising for viable scale
- Poor investment performance affecting growth
- Market conditions impacting strategy effectiveness
- Competitive pressure on fees and returns

Mitigation: Conservative planning, diversified capital sources, proven strategy

### **TAX RISKS:**

- Revenue treatment of trading gains
- Changes in tax legislation
- Unexpected tax liabilities
- International tax complications

Mitigation: Professional tax advice, regular monitoring, conservative provisioning

# 7. SUCCESS FACTORS & TIMELINE

## CRITICAL SUCCESS FACTORS:

### Team Excellence:

- Experienced fund management professionals
- Proven track record in systematic trading
- Strong operational and compliance capabilities
- Established industry relationships

### Strategy Differentiation:

- Proven 5-Level Conviction methodology
- Systematic and repeatable approach
- Clear risk management framework
- Demonstrable competitive advantage

### Operational Excellence:

- Robust technology and systems infrastructure
- Professional service provider relationships
- Comprehensive compliance and risk management
- Efficient and scalable operations

### Capital and Scale:

- Adequate setup and working capital
- Realistic timeline and milestone planning
- Clear path to economically viable scale
- Strong investor value proposition

## REALISTIC TIMELINE EXPECTATIONS:

### Year 1: Foundation and Licensing

- Legal structure establishment
- AFSL application and approval
- Core team recruitment and training
- Technology implementation and testing

### Year 2: Launch and Initial Growth

- Fund launch with seed capital
- First external investors
- Track record development

# 8. CONCLUSION & NEXT STEPS

## STRATEGIC ASSESSMENT:

Our proven 5-Level Conviction trading strategy provides a strong foundation for institutional fund management. The systematic approach, comprehensive risk management, and demonstrated performance across global markets creates a compelling investment proposition.

However, the transition from individual/private trading to regulated fund management requires significant investment in legal structure, compliance framework, and operational infrastructure.

## RECOMMENDED APPROACH:

### **1. IMMEDIATE ACTIONS (Next 30 days):**

- Engage specialist fund management lawyer for structure advice
- Consult with fund administration specialist for operational framework
- Obtain preliminary tax advice for strategy optimization
- Develop initial business plan and financial projections

### **2. FOUNDATION PHASE (Months 1-6):**

- Establish legal structure and corporate entities
- Commence AFSL application preparation
- Select and appoint key service providers
- Begin comprehensive documentation development

### **3. IMPLEMENTATION PHASE (Months 6-18):**

- Complete AFSL application and approval process
- Finalize legal documentation and compliance framework
- Implement technology systems and operational procedures
- Prepare for fund launch and marketing

## INVESTMENT DECISION FRAMEWORK:

Proceed if:

- Committed to \$1M+ initial capital investment
- Realistic about 18-24 month timeline to launch

END OF REPORT

This analysis provides the framework for strategic decision-making regarding fund management implementation. Professional consultation is essential for detailed planning and execution.

Report prepared: August 18, 2025

Status: Comprehensive analysis complete

Next phase: Professional consultation and implementation planning